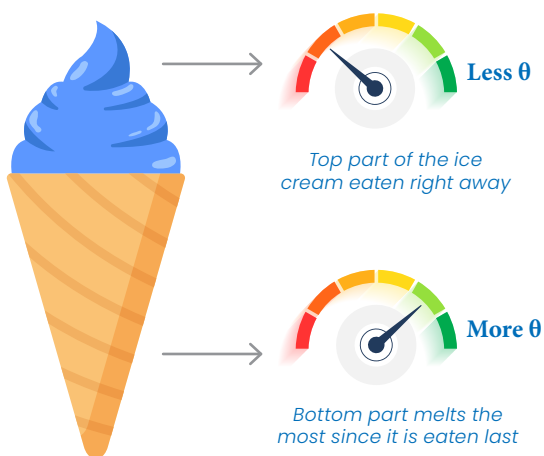


Holding an option is like holding onto an ice cream cone. The top part of the ice cream cone melts the least because we eat it right away. However, the bottom part melts the most since it is eaten last.

Similarly, if you exercise or sell an option immediately, there will be less theta decay. However, if you hold it for too long, you will experience a lot of theta decay.



Options Timeline

D. Vega - v

Vega measures how sensitive an option's price is to changes in volatility. For instance, if the Vega is 12, a 1% change in implied volatility will increase the option price by 12 points. Conversely, if the volatility drops by 1%, the option price will fall by 12 points.

